

to make the perfect buggy whip, at age 55, in 1910! Or imagine that you were the leading expert on silent movies just before the “talkies” started. Or maybe you were cornering the classified advertising market just as Craigslist and eBay made their appearances.

But aside from that kind of a setback, time compounds your advantages. At age 20, you may know less than everyone in your business. But then you work 10 hours per day, while others work only 8. In 20 years, you may know more than just about anyone. Then who gets the new contracts? Who finds the new opportunities? Who has pricing power?

WHO MAKES MONEY?

Compound interest works because each addition is then put in service to earn another increment of gain. Compound effort works the same way. Every insight, innovation, and useful contact helps bring on another, bigger and better one.

Remember, success is competitive. While you are adding to your business capital, your competitors tend to wear out, move on, or retire. Sticking to it is not easy. People tend to get distracted. They often want easier, simpler, faster opportunities. They give up their accumulated capital and take up something new. That leaves you in a commanding position.

The longer and harder you work at something, generally, the more success you have. But there’s an intriguing idea left dangling. What if you could work at something longer than a single life span? What if you could keep compounding for more than one generation? What if one generation could help the next succeed?

The idea is both self-evident and shocking. In America, you are supposed to be self-reliant, self-sufficient, and independent. You should believe that you are responsible for your own success. You are supposed to be able to do whatever you want to do—and go as far as your luck and pluck permit.

What if it weren’t true? What if your success in life depended largely on your parents and grandparents?

We know that wealth is accumulated over many generations. We know that just by looking around. Our generation did not build many of the